complaint

Mr and Mrs G complain that Zurich Insurance PLC unfairly applied an increased policy excess at the 2015 renewal of their home insurance policy which meant they were unable to change insurers.

background

Mr and Mrs G have insured their home with Zurich for many years. When they received their 2015 renewal quote they made a complaint to Zurich. They were unhappy that Zurich had applied an increased excess in response to their recent claims history. Zurich looked into their complaint but didn't think it should be upheld. It thought the premium charged and the terms imposed were correct based on Mr and Mrs G's circumstances.

Mr and Mrs G weren't happy with the increased excess and tried to insure their home elsewhere. But they were unable to obtain any reasonable quotes from other insurers because of the increased compulsory excess that Zurich had applied to their existing policy.

Mr and Mrs G complained to this service. Our adjudicator investigated their complaint but didn't think it should be upheld. She didn't think Zurich had unfairly applied an increased policy excess to their policy.

Mr and Mrs G disagreed with our adjudicator and asked for their complaint to be referred for an ombudsman's decision. They said she'd based her conclusions on the assumption that they'd made two theft claims when there'd been only one. If Zurich amended its records to reflect only one claim had been made then only one of the special terms it imposed on their policy should've been applied. So Zurich was wrong to take two excesses from them and to separate the claim into two. They said that Zurich should review the increased excess that was applied both historically and in the future along with the extra excess they were charged in respect of the theft claim.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I can see from Mr and Mrs G's complaint form that they've made nine different complaints about Zurich. However, only two of those had been referred to Zurich before the complaint was brought to us. So our adjudicator, quite rightly, separated Mr and Mrs G's complaint. This decision relates to the two complaints Zurich has already investigated. The other seven complaints have been referred to Zurich and, I now understand, have been set up under a separate reference here. I know that Mr G has said that he wants all of his complaints looked at under this reference, but that isn't possible. Zurich has to have the chance to consider all complaints made against it. At the time Mr and Mrs G made their complaint to us, that hadn't happened. We asked Zurich if it'd let us look at all nine complaints under this reference but it declined. It asked us to refer the other seven to it so it could consider them separately.

So, this decision only relates to Zurich's decision to apply an increased policy excess to Mr and Mrs G's policy and the fact that Mr and Mrs G say this prevented them from moving their policy to another insurer.

There is some dispute about the theft claim and Zurich's decision to split it into two. But, this issue is being looked at under the other complaint reference. So, for the purposes of this complaint, I have to accept there were two separate theft claims. This, together with the other claim for lost jewellery, led to Zurich's underwriters applying an increased excess for any future jewellery claims.

Insurers each have their own view on how much risk there is of a customer needing to make a claim and how much any claims are likely to cost. They use this information in order to decide what price they need to charge – or excess they need to apply - to cover the risk. If an insurer thinks that the risk has increased for some reason, it may be fair to increase the premium or the excess. This service looks at what's caused the insurer's view on risk to change to see whether we think the premium charged – or excess applied - has been done so fairly. Zurich has provided us with evidence that policyholders with three or more claims will be referred to underwriters, and that renewal terms are offered at underwriters' discretion. So, I think that Zurich's underwriters have fairly applied their discretion to Mr and Mrs R's renewal terms in line with its standard internal guidelines.

Zurich has explained that it reviews its policies individually on their own merits at renewal. This home insurance contract was an annual one and there's no requirement for the insurer to offer renewal on the same terms as in previous years. Mr and Mrs G's broker was advised about the renewal terms almost two months before the renewal date. I think this is a reasonable amount of notice to give Mr and Mrs G.

I can see from the renewal documents that the increased excess for jewellery claims appeared as an endorsement to the policy: Mr and Mrs G must pay the first £500 of every covered jewellery loss (in addition to any other excess shown on the schedule). This endorsement is particular to their circumstances and not something that applied to other customers. As such it was 'special' and would need to be disclosed to any other prospective insurers. Those insurers would then decide if they willing or not to offer cover and at what price. The fact that some insurers may decline to do so doesn't make it unreasonable for Zurich to have applied it in the first place.

my final decision

My final decision is that I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr and Mrs G to accept or reject my decision before 9 January 2017.

Claire Woollerson
ombudsman